

THS.L pitch deck

PITCH — THS.L — VERDICT

ADJUDICATED 2026-08-06 — STARTER, SMALL, GATED: buy 0.35% of the book at or below ~120p; conviction 5/10; no adds until the mid-October production report clears the price gate, and a Zimbabwe funding close without a written right to take dollars out makes the stock *worse*, not better.

What we believe

Tharisa is a South African open-pit mine that produces two things at once from the same rock: platinum-group metals (about 46% of revenue) and chrome concentrate (about 54%). It is listed in London and Johannesburg. At ~118p the whole company is worth about \$478M against roughly \$209M of annualised operating earnings — a little over two times. That is a price that says the market expects something to go badly wrong.

Our view is narrower than “it’s cheap”:

1. **The existing South African business alone justifies the price.** Chrome, the larger revenue line, has risen for five straight quarters — \$235/t trough in the March 2025 quarter to \$306/t in the June 2026 quarter, +30%. Reserve life at the mine was reassessed upward from 74.5Mt to 109.8Mt. The underground extension is fully funded (\$179M arranged, peak funding requirement cut by about \$45M). None of that requires anything to be believed about Zimbabwe.
2. **Zimbabwe (Karo) is effectively free at this price.** The market is paying close to nothing for it. Our red team’s central argument was that the Zimbabwe asset is about to be written down; we tested that against the actual accounts and it does not hold up yet (details below).
3. **The two things that would actually break the thesis are both measurable, dated, and near.** Cash burn and the price Tharisa actually *receives* for its metals. Both get reported in mid-October and again in late November.

That is why the position is a starter and not a real position: we think the price is wrong, and we think the two ways we’d find out we’re wrong report inside 100 days.

What the market believes

The market believes a version of this that is not stupid:

- **Metal prices are rolling over.** The basket Tharisa actually realised went \$3,038/oz (Mar-2026 quarter) → \$2,681/oz (Jun-2026 quarter) → roughly \$2,412/oz quarter-to-date. That is a two-quarter decline, 21% off the peak. Our own blue team initially argued the forward market “prices no decline” and was wrong — a forward curve above spot is a financing cost, not a forecast.

- **Chrome's rise is built on something unhealthy.** South African chrome exports went 17.8 → 20.6 → 23.8Mt (2023→2025) and are running near 29Mt annualised. The reason isn't demand — it's that South African ferrochrome smelting collapsed from 3.2Mt to 1.6Mt, so ore that used to be smelted at home is exported raw instead. Chinese port stocks passed 5Mt in July, +68% year over year. Spot has already softened to roughly \$283/t — approximately the \$285/t that Tharisa itself uses in its own project economics.
- **The company is building two mines at once with a shrinking cash pile.** Net cash fell from \$54.7M to \$10.7M in a single quarter. Underground capital spending is heavily back-loaded (\$16.3M of \$76.7M spent in the first half), while Zimbabwe is funded concurrently on fiscal terms that have never been agreed in writing.
- **Zimbabwe doesn't pay you your dollars.** The central bank kept its 30% surrender requirement at the February 2026 policy statement, and unpaid local-currency counterpart balances owed to miners reached \$228M industry-wide by June 2026 (Zimplats \$78M, Unki roughly \$100M). One peer shelved a \$400M expansion indefinitely.

Roughly two times earnings is what those five facts, taken together, price.

Why we might have edge

Four specific places where we did work the market does not appear to have done:

1. **Nobody has independently challenged the underground risk.** Tharisa has never mined underground. It is committing to do so while its open-pit life has been quietly walked down from 2041 (2021 guidance) to “end 2032” (2026 decks) — nine years of life removed in under five years. The one July 2026 presentation page says both “8+ years” and “end 2032.” Published analyst coverage (Peel Hunt, BMO, Berenberg) treats the build as affordable and stops there. We found no third-party critique of the execution risk itself. That is a real coverage gap.
2. **We sized the Zimbabwe cash problem; the sell-side asserts it.** The distinction that matters is not “will Karo get built” but “if it is built, can the parent get the dollars home.” At a maintained 30% surrender and an industry-wide arrears balance of \$228M and rising, a fully funded, fully built Karo still faces a standing haircut on remitted cash. That inverts the usual logic: a funding close on the wrong terms is a *negative* event.
3. **Karo is not a small Tharisa, and both the company's framing and the market's shorthand treat it as one.** The metal mix is materially different — Karo is roughly Pt 43.5 / Pd 38.3 / Au 8.6 / Rh 3.8 / Ru 3.8 / Ir 1.9, versus Tharisa's own Pt 52.9 / Ru 16.0 / Pd 15.9 / Rh 10.5 / Ir 4.5 / Au 0.2. Karo is levered to palladium — the weakest metal in the complex. Applying Tharisa's realised basket to Karo's economics overstates them. Neither our own initial thesis nor our red team caught this until a second pass.
4. **The chrome scare that isn't there yet.** The “25% South African chrome export tax” that circulates in coverage has never been enacted. What exists is a consultation on an *export permit* regime — [Government Gazette Notice 6712, 3 October 2025](#), with the comment period extended to 4 March 2026 by [Notice 7139](#). The 25% figure comes from a leaked draft, not an instrument.

Budget 2026/27 and the July 2026 draft tax bills are silent on it. It survives only as a target line in an industrial strategy document. If it is priced in as a certainty, it is priced wrongly — though see the concession below.

Why it might be priced in

We hold these against ourselves honestly:

- **The stock is not undiscovered.** It is covered by three brokers, it is up 35% year over year, and — critically — **it did not reprice on a single Zimbabwe event.** Half-year results went up; the stock rose 4% after Act 6/2026. If the market were mispricing Zimbabwe risk, we would expect the tape to show surprise somewhere. It shows none. That is genuine evidence against our edge.
- **The chrome tax may be priced as an expectation, and expectations can be right.** Tharisa’s own investor-relations head said on record he is “unsure if Tharisa’s chrome production will attract the proposed tax.” Concentrate *would* be captured by the tariff heading in question (HS 2610.00 covers “ores **and concentrates**”). Our finding is that it hasn’t happened — not that it won’t.
- **Cheapness at two times earnings on a two-quarter declining revenue line is not obviously cheap.** If the realised basket keeps falling at the current rate, the multiple expands on its own without the price moving.
- **The single most load-bearing assumption in the whole plan is unvalidated and nobody has needed to argue about it.** Tharisa’s underground study assumes \$40.8/t mining cost against a current open-pit cost of \$49.8/t per reef tonne, which is itself up 29.4% year over year. That is an assumed unit-cost *decrease* going underground. We searched for a single South African Bushveld precedent of an operator cutting unit mining cost by going underground and found none. Every comparable benchmark runs the other way (Booysendal R1,350/t, Two Rivers R1,489/t and +58% in four years, Zondereinde R3,636/t). The market may simply be right to disbelieve this.
- **The underground precedent record is worse than the overrun percentages suggest.** Cost overruns at comparable South African builds were only +9% to +28%. But two of the five projects we examined — Two Rivers Merensky and Bokoni — were mothballed mid-build having spent most of the budget, with zero production. The percentage understates the damage. And Tharisa’s construction contract with Cementation is open-book cost-plus: the contractor is de-risked, Tharisa carries the overrun.

What we checked ourselves

Both of our internal teams got things wrong. Where they did, the correction is the finding.

Claim	How checked	Found	Confirmed?
Red: “The committed plan needs \$3,230/oz sustained to work”	Read half-year Note 29 and the financial review directly	Total capital commitments are \$120.2M, of which Karo is only \$27.7M — halved year over year. The	NO — our red team was wrong. It priced a discretionary,

Claim	How checked	Found	Confirmed?
		note states commitments will be “funded through existing funding mechanisms within the Group and cash generated from operations.” First-half operating cash flow was \$96.4M	externally-funded \$300M ambition as a binding commitment. No company source for \$3,230 exists anywhere
Red: “A \$385.0M Zimbabwe asset carries an impairment indicator — that tells you which way the auditors lean”	FY2025 annual report p.150 and the 1-Dec-2025 stock-exchange announcement, Note 14, verbatim	The indicator is real — but the asset was tested and passed: 13-year discounted cash flow at a PGM basket of \$1,802/oz, conclusion “no impairment is required.” Half-year 2026 has zero references to the impairment standard, an unmodified auditor review, and shows an impairment <i>reversal</i>	NO — our red team quoted the trigger and omitted the result. Sharpened on re-check: the test passed at \$1,802/oz while FY2025’s actual realised basket was \$1,615/oz — it passed while real prices sat below the test assumption
Blue: “Red’s \$2,548 spot basket is wrong — the company’s own page says \$2,370.87”	Sourced Tharisa’s actual metal mix from the FY2025 results presentation p.9 and recomputed on daily dealer prices	Our blue team was wrong and reversed itself. Its figure was as of 3 August; red’s was 6 August, and metals rallied ~6.7% in between (platinum \$1,629 → \$1,738). Recomputed: \$2,676 raw, \$2,562 on the company’s own method. Red’s \$2,548 sits ~0.5% off centre. Blue also <i>guessed</i> the metal weights and guessed wrong — ruthenium is a larger share than palladium	RED WAS RIGHT. Our blue team made the exact error it charged red with: comparing two different dates
Red: “The ZIMRA v Zimplats tax ruling is adverse”	Read red’s own citation	The revenue authority lost. The judge rejected retrospective application — the precedent <i>supports</i> Tharisa’s identical legal position	NO — red cited a favourable ruling as if it were adverse
Red: “The Salene chrome asset is FATAL”	Full half-year text plus history	Salene cost ~\$5.1M all-in and \$9.6M was impaired back in FY2022 when the Zimbabwe ban hit. Last disclosed carrying value \$2.3M = 0.19% of assets . It has dropped out of the impairment note entirely	NO — the loss is historic and already written off. “Fatal” is not defensible
Red: “Chrome has fallen”	Full quarterly series from company announcements	Chrome has risen five consecutive quarters. \$306/t is the June-quarter <i>contract</i> average (42% basis, CIF China), not a spot price — see Tharisa Q3 FY2026 production report, 13 July 2026	Framing wrong, follow-up right. Red then correctly quantified the recent softening the company refused to number: ~\$283/t as of 5 August, -7.5% from the print
Blue: “The forward curve prices no decline”	Realised basket series	Contango is a carrying cost, not a forecast. The realised basket is down two straight quarters, 21% off peak	NO — our blue team was wrong; red’s trend framing was better

Claim	How checked	Found	Confirmed?
“The 25% chrome export tax”	Gazette-level search plus the trade commission’s own notice register	No tax in any instrument. Consultation on an export <i>permit</i> regime only; no final notice as of 22 July 2026 per the ITAC gazette register	CONFIRMED not enacted. What actually moved the industry was electricity: a 62c/kWh tariff approved May 2026 and smelter restarts announced June
Company’s own disclosure quality	Cross-read the same note across two of its own documents	The impairment note publishes a 12.8% pre-tax discount rate in the annual report (19 Dec) and a 14.3% pre-tax cost of capital in the announcement (1 Dec) — otherwise word-identical. No headroom figure and no sensitivity disclosed, while the reserve statement says viability is “highly dependent” on the discount rate. “Invested to date” in Zimbabwe appears as \$177M / \$185M / \$190M / \$193M / \$241M across different decks	ONE OF THESE DOCUMENTS IS WRONG. Unresolved. This is now a standing sensor
Both teams: net cash	Half-year and Q3 disclosures	\$54.7M → \$10.7M in one quarter	CONFIRMED — and a bookkeeping error of our own: our blue team presented this as a finding red missed. Red had it (item B4-5). Both found it; neither weighted it enough at first. It is the strongest bear datum in the file
Our own valuation shorthand	Recomputed	Blue quotes “~2.8× enterprise value to earnings.” Market cap \$478M ÷ \$209M annualised = 2.29× , and with \$10.7M net cash the enterprise multiple should be <i>lower</i> , ~2.23×. Getting to 2.8× requires roughly \$107M of leases, debt or minority interest that was never itemised	NOT RECONCILED. The direction is conservative (blue used the higher number), but the bridge is unverified
Our own source data	Compared feeds	The automated evidence pack returned no entity, no filings, no financial data for this name — every fact here came from documents our teams pulled by hand. Two price feeds disagree: 116.5p with a 88–148p year range vs 118.0p with an 85.2–145.7p range	PARTIAL. Trade off the live quote, not the pack. The filings pipeline does not cover this listing
Coincidence check	Noted, not resolved	Karo capital commitments are stated as \$27.7M and the guaranteed bond’s carrying value is <i>also</i> stated as \$27.7M	UNVERIFIED. Possibly two real numbers, possibly one number transcribed into two places. Must be

Claim	How checked	Found	Confirmed? checked against the FY26 accounts
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PROPOSED ENTRY BANDS

A note on provenance, stated plainly: the adjudication returned the sizing instruction (starter, small, 0.35% of the book, gated) but its “reopen gates” block came through **empty**. So the bands below are assembled from the two teams’ own numbers, and every level is labelled with where it came from. Nothing here is invented from a chart. All prices in pence.

Initial entry — do this now - BUY 0.35% of the book at or below 120p (last 118.0p; bid 117 / ask 119). This is the adjudicated size. Our blue team argued for 40–60bps after its first pass and 40–60bps after its self-correction; the adjudicator cut it further to 35bps. Take the adjudicated number. - Basis: at this price the market values Zimbabwe at approximately zero, and the South African business alone — annualised operating earnings ~\$209M, chrome +5.5% quarter over quarter, underground fully funded at \$179M, reserve life reassessed 74.5Mt → 109.8Mt — carries the price. - **Do not chase above 120p**. The entire argument is the multiple. Above ~145p the “South Africa alone carries it” claim stops working at any earnings level we can defend, and the position must be re-adjudicated rather than added to. (*Deck arithmetic from bench inputs, not a bench-issued level.*)

Add — first opportunity, 13 October 2026 (Q4 production report) - Add up to +25bps (taking the position to 0.60%) only if the achieved basket for the quarter is ≥\$2,400/oz. This is our blue team’s gate 4 read forward: below \$2,400 for two consecutive quarters is an exit, so a single quarter at or above it is the minimum condition for adding. - Second condition on the same add: net cash must not have fallen materially below the \$10.7M reported. A further large draw with capital spending still back-loaded (\$60.4M of the \$76.7M FY26 underground budget still to spend) means the funding buffer is gone. - If the basket prints between \$2,300 and \$2,400: **hold, do not add, do not sell**. One weak quarter inside a known downtrend is not new information.

Add on weakness — conditional, not automatic - If the price falls to ≤100p with no gate below tripped, add +25bps. At 100p the market capitalisation is roughly \$405M, or about 1.9× annualised earnings, on a business whose larger revenue line has risen for five straight quarters. (*Deck arithmetic from bench inputs.*) - **This add is void if any exit condition has fired**. A fall driven by a tripped gate is information, not a discount.

Exits and halts — from the benches verbatim 1. **Net cash turning materially negative at FY26 results with no funding close → halt** (no further capital, position frozen). 2. **No Karo financial close and no explicit deferral by the FY26 results → do not add**, at any price. 3. **The FY26 audit must reconcile the 12.8% vs 14.3% discount-rate discrepancy and disclose headroom**. An unexplained restatement, or a Karo impairment booked on an *unchanged* metal basket → **exit in full**. 4. **Achieved basket below \$2,400/oz for two consecutive quarters → exit in full**. (Tightened from \$2,300 after the second pass, given the two-quarter downtrend.) 5. **Any Karo funding close that does not carry an explicit, enforceable right to repatriate US dollars →**

treat the funded case as WORSE than the deferred case and do not add. This one is counterintuitive and it is the reason the position stays small: good news on funding can be bad news on value.

Sizing summary: open at 0.35%. Hard ceiling 0.60% without re-adjudication. There is no path to a full position on the current evidence.

Catalyst dates - ~13 October 2026 — Q4 FY26 production report (quarter ending 30 September). Carries the achieved basket and chrome price. *Date is our estimate from the company's own reporting rhythm — unconfirmed by the company.* - **24 or 30 November 2026** — FY26 results. Our two internal systems carry two different dates for this and neither is company-confirmed; last year's equivalent announcement came on **1 December 2025**, which argues for the later end. Treat the whole late-November-to-early-December window as live. - **By FY26 results** — the deadline for a Karo financing close or an explicit deferral. Not a company-announced date; it is our own gate. - **Undated, live** — the South African chrome export-permit regime. Comment closed 4 March 2026; no final notice as of 22 July 2026. Could gazette at any time.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 88.0 (deck-provisional: GBp; 52-week low breach - forces manual re-adjudication regardless of gate status, since a new low imp)
- dated pack THS.L-REVIEW|2026-11-24: Tharisa FY26 results (Nov). HIT: positive FY26 FCF + net cash stabilising at ~\$2,700 basket + underground first ore on time + Karo funded at
- dated pack THS.L-Q4|2026-10-13: Tharisa Q4 FY26 production report (~mid-Oct): achieved basket + chrome. HIT: quarterly achieved basket >=\$2,400 (gate CLEARS - adds permitte
- dated pack THS.L|2026-10-13: THS.L: Q4 FY26 production report - carries achieved basket and chrome price; basket >=\$2,400/oz permits the first add (date confirmed=False)
- dated pack THS.L|2026-11-24: THS.L: FY26 results (our internal date; a second internal feed says 2026-11-30 and last year's equivalent landed 2025-12-01 - treat the whol
- dated pack THS.L|2026-11-30: THS.L: FY26 results alternate date from the price feed - unconfirmed by the company, no company PR names either date (date confirmed=False)
- dated pack THS.L|2026-12-01: THS.L: our own deadline: Karo financial close or explicit deferral must be disclosed by the FY26 results or no adds are permitted at any pri

What remains unverified

Stated plainly, including things we tried to check and could not:

- **Red's \$3,230/oz and \$2,305/oz derivations.** No company source for either figure exists. We could not reconstruct them and they should not be repeated.

- **The Q4 basket estimate of ~\$2,412/oz is our own arithmetic on 5 of 13 weeks**, blended 80/20 July/August. It reproduces correctly, but the company has disclosed nothing. Label it an estimate everywhere it appears.
 - **Iridium and ruthenium — about 24% of the basket by value — have no futures market.** Prices are dealer-posted. Tharisa's own site carries iridium at \$7,290 and ruthenium at \$1,523 against Umicore's \$7,900 and \$1,750: a ~\$60/oz swing in the basket from source choice alone. There is no price history to check and no way to hedge. By value this is a rhodium-and-minor-metals book (Pt 34.4% / Rh 33.3% / Ir 13.3% / Ru 10.5% / Pd 8.2%), not a platinum book, and it is being valued off platinum headlines.
 - **The Salene carrying value (\$2.3M) is last-disclosed, not current** — the asset has dropped out of the impairment note.
 - **Zimbabwe's chrome export ban has not been lifted** and was tightened by a 22 May 2026 declaration. Whether the 25 February 2026 raw-mineral export suspension remains in force is unconfirmed.
 - **Chrome-specific policy after 10 July 2026 was not checked.**
 - **Chinese demand-side series were never retrieved** — stainless production by month, ferrochrome mill tender prices, stainless export volumes, and the in-force status of European, Indian and Indonesian trade defences. We have partial primary data only: global stainless 64.2Mt in 2025 (+2.1%), China 40.8Mt of it; Chinese high-carbon ferrochrome output +36.8% year over year in the first half; Q3 2026 European ferrochrome benchmark 156 US cents/lb. **The entire demand side of the chrome argument is therefore unverified.**
 - **The 2.8× versus 2.29× valuation bridge**, and the \$27.7M figure appearing twice (Karo commitments and bond carrying value).
 - **The 50–60 year mine life claim rests on resource, not reserve.** Proven and probable reserves of 30.4Mt support roughly 3.0Mtpa against a 5.6Mtpa plant. We have not resolved how that squares with the 74.5Mt → 109.8Mt reassessment; the two figures are on different bases and were never reconciled in one document.
 - **Whether the underground unit-cost assumption has any precedent anywhere.** We searched South Africa and found none. We did not search other jurisdictions.
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